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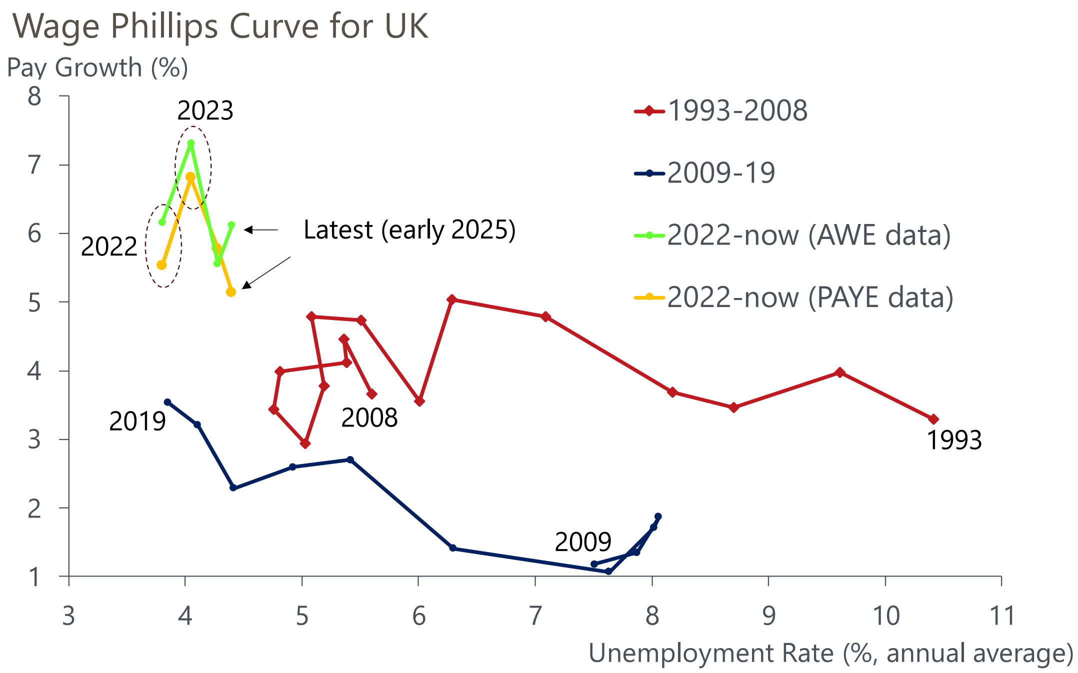
Research Briefing | UK

Will (mild) stagflation continue?

- **This is likely to be another mildly stagflationary year for the UK economy, with sluggish growth accompanied by average CPI inflation of about 3%. It will be the fifth consecutive year of annual inflation averaging above the 2% target.**
- **Some of the UK's poor growth-inflation mix is due to one-off factors. In addition, the Bank of England's Monetary Policy Committee has advanced two underlying diagnoses for the UK's malaise: potential growth may recently have been even lower than expected; or the relationship between unemployment and pay growth has shifted.**
- **We disagree with the first argument, given evidence that labour supply is strong and spare capacity is rising. The second has some validity, because recent high inflation rates have left a hangover of elevated inflation perceptions and expectations that, along with the rise in the National Living Wage, are influencing pay deals.**
- **Some of the current mild stagflation will probably fade in 2026 as this year's idiosyncratic shocks drop out of the annual inflation rates. The rest will probably eventually be squeezed out by sluggish economic growth and relatively tight policy, with core inflation and pay growth slowing over this year and returning to target-consistent rates next year.**
- **For now, the MPC remains on a cut-hold pattern. As further evidence of rising slack and slowing core inflation come through, we expect the MPC will cut rates to 3.75% by year-end, a level that is probably still mildly restrictive.**
- **The UK is not inherently stagflationary. But with inflation perceptions and expectations not securely anchored on the 2% target alongside greater risks of frequent price shocks, the UK may be more exposed to recurring bouts of mild stagflation than most advanced economies.**

Chart 1: Relation between unemployment and pay growth has not returned to pre-pandemic norm



Source: Oxford Economics/Haver Analytics

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This is turning out to be another year of mild stagflation for the UK, with CPI inflation set to be around 3% on average while GDP growth is likely to be meagre, at around 1%. Moreover, the UK's growth-inflation trade-off seems likely to be worse than expected a few months ago. Due to the weaker growth in 2024 H2, we have cut our 2025 UK growth forecast by 0.7ppts over the last six months – more than the cuts to our US and Eurozone forecasts. In the same period, we raised our 2025 UK inflation forecast by 0.5ppts – similar to the US and the Eurozone.

The growth of average weekly earnings (AWE) also has been higher than expected despite rising unemployment over the last year. Revisions to consensus forecasts show a similar story, with the disparity between growth downgrades and inflation upgrades over the last six months among the worst of advanced economies.

What is causing this mild stagflation?

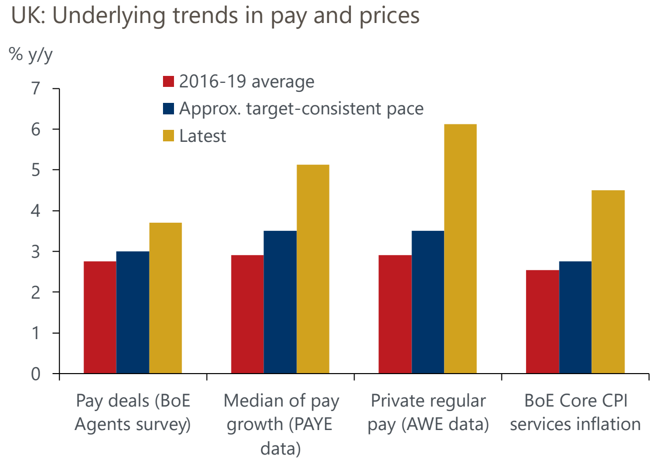
The deterioration in the UK's growth-inflation mix partly reflects idiosyncratic and temporary factors. To an extent, the recent pickup in the AWE data reflects composition effects, with average pay lifted by declining employment in low-pay sectors and a lower share of part-time employment. Other pay guides, for example the PAYE-based measure published by the ONS and the BoE's Decision Maker Panel (DMP) survey, which are less affected by composition effects, do not show the same recent pickup.

Moreover, recent CPI strength mainly reflects food and core goods, which are not really driven by UK costs. Similarly, the rise in wholesale gas prices over the winter has a bigger effect on UK inflation prospects than elsewhere because of the larger role these prices play in setting UK household electricity prices. In addition, water charges are set to rise sharply (about 25%) this year, adding to core inflation.

Services inflation is often used as a clearer guide to domestic cost growth, but in the UK this includes some items that have sizeable lags versus current inflation pressures. For example, some are indexed to past inflation (e.g. telecoms charges), while others mostly reflect prices of a few quarters ago (e.g. rents). The BoE's core services inflation measure, which is less affected by indexed and regulated prices, has continued to slow.

But these idiosyncratic factors are not the whole story. Even with sluggish growth, the more reliable pay and price guides remain well above pre-pandemic norms and well above their target-consistent rates. For example, BoE core services inflation is 4.5%, pay growth is about 5% on the PAYE data and DMP survey, and pay deals this year average 3.7% according to the BoE agents pay survey (**Chart 2**).

Chart 2: Underlying trends in pay and prices are still too high for comfort



Source: Oxford Economics / Haver Analytics

This all points to an underlying deterioration in the UK's growth-inflation mix. The MPC have advanced two main arguments for why this is happening:

- **Lower potential growth**. In this view, recent weakness in GDP growth chiefly reflects supply constraints rather than weak demand, with a further slowdown in potential growth (especially productivity growth). As a result, the economy has little or no spare capacity, hence generating inflation pressures.

- **A shift in the relationship between unemployment and pay growth**, with higher pay growth (for a given jobless rate) than previously. This argument implies that even though the jobless rate has drifted up since 2023, it is still not high enough to slow pay growth to a target-consistent pace. Moreover, the hike in employers' National Insurance Contributions may lift structural unemployment.

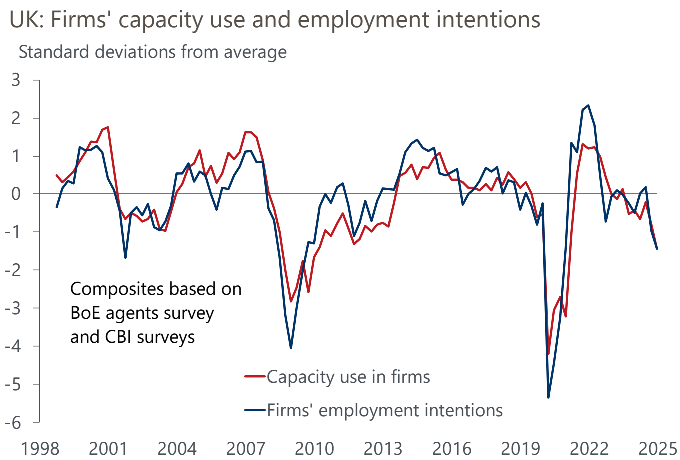
How valid are these worries?

We are not really convinced by the supply constraints argument (other than for the construction sector). UK potential growth has been relatively low since 2010 and weakened further after Brexit. Estimates and forecasts for potential growth have generally turned out to be too optimistic since around 2010. But we don't see convincing evidence that it has weakened significantly further over the last year.

Labour supply seems to have been strong, with population growth lifted by high inward migration. The LFS data (which are not very reliable at present) suggest the workforce rose 2.1% y/y in the three months ended January, the highest pace for 40 years. Certainly, productivity growth has been weak, with GDP per hour down 0.6% y/y in 2024 Q4 (also based on the LFS data). However, if the productivity data are accurate, it probably is the case that firms hired staff in expectation of stronger demand growth and have not yet adjusted headcount downwards, rather than because trend productivity growth has turned negative.

The key piece of evidence is that if activity was supply-constrained, then capacity use in firms would be stable or rising. In practice, business surveys such as the BoE's agents and the Confederation of British Industry's suggest that weak growth has (as usual) caused a sharp drop in firms' capacity utilisation (**Chart 3**). In turn, lower capacity use is now being reflected in a sharp deterioration in firms' hiring intentions as they seek to trim staff numbers to fit the weaker growth outlook. This points to a further rise in unemployment in the next few quarters, and strongly suggests the stickiness in inflation and pay growth is not a sign of continued excess demand.

Chart 3: Capacity use and firms' hiring intentions have fallen sharply



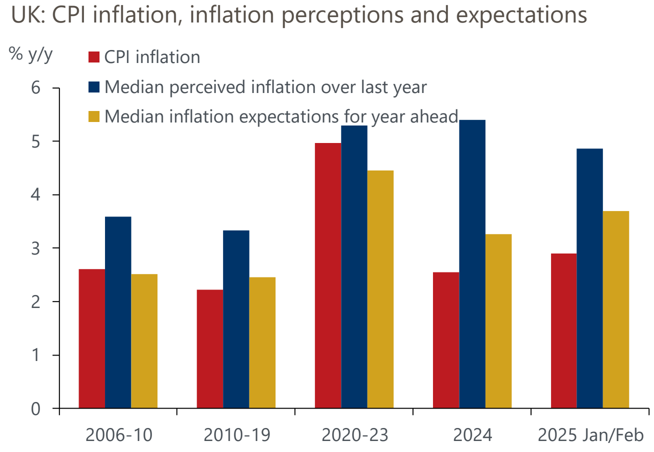
Source : Oxford Economics/Haver Analytics

The argument that the relationship between unemployment and pay has shifted is harder to refute. Indeed, there is some validity to it, given that the wage Phillips curve has still not returned to its pre-pandemic position. Pay growth in Q4 2024 was 2ppts-3ppts higher on the AWE data and 1ppt-2ppts higher on the PAYE data than implied by the pre-pandemic Phillips curve (**Chart 1**).

Most likely this reflects sticky perceptions of the current inflation rate and expected inflation, as well as the rise in the NLW. Until 2024 Q4, which may have been affected by composition effects and the NLW rise, private regular pay growth in recent quarters has been close to the path implied by a model based on labour market slack, inflation perceptions, year-ahead inflation expectations, and trend productivity.

Inflation expectations and inflation perceptions are lower than a couple of years ago but remain relatively high compared to actual CPI inflation and well above pre-pandemic norms. For example, in Q1 this year, the general public's median perception of the current inflation rate (4.9%) was roughly 2ppts above the actual CPI inflation rate (about 2.9%), compared to an average gap of 1.1ppts from 2006-2019 (2.3% CPI inflation, 3.4% perceived inflation, **Chart 4**). Similarly, median inflation expectations for the year ahead exceed 3.5% – well above the actual inflation rate. Our model suggests that elevated perceptions and expectations of inflation are adding significantly to recent pay growth.

Chart 4: Inflation expectations appear less anchored than they used to be



Source: Oxford Economics / Haver Analytics

This stickiness of inflation expectations and perceptions could reflect psychological scarring from the very high inflation of 2021-2023, and the fact that this is likely to be the fifth consecutive year with annual average inflation above the 2% target. Moreover, unlike the US and Eurozone, the recent inflation surge was not preceded by a long period of below-target inflation in the 2010s, partly because the currency depreciation caused by the Brexit vote lifted inflation in 2017-2018.

In all, since the start of 2017, UK CPI inflation has averaged 3.7% y/y – the G7's highest rate. These trends may have reduced the extent to which UK inflation expectations and perceptions are anchored on the 2% target and made them more sensitive to inflation overshoots.

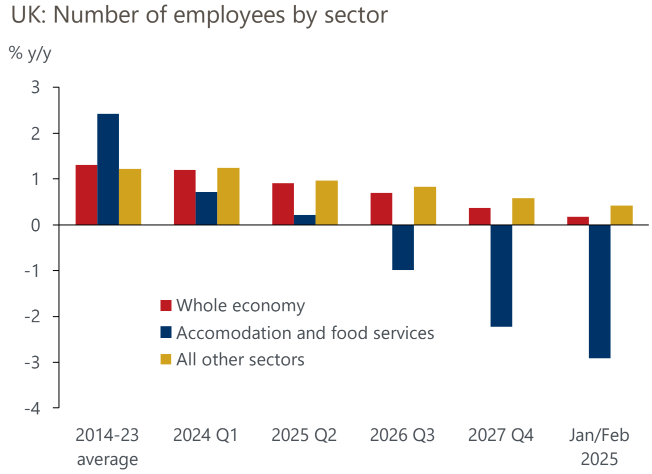
As a result, pay deals are being struck in a climate in which people believe inflation has been relatively high and will continue to be so. This creates pressure for real wage catch-up and protection against what is expected to be above-target inflation in the year ahead, while also encouraging firms to think they will have enough pricing power to pass extra costs on to prices.

The general public's scepticism that inflation will stay low may be reinforced if, as seems likely, CPI inflation exceeds 3% for most of this year. This is especially so given that food and energy prices, which have high salience, will probably be rising faster than in 2024 H2. In turn, continued stickiness in inflation perceptions and expectations could create pressure for pay deals to stay above a target-consistent pace next year.

At the same time, the MPC's ability to judge the extent of slack may be complicated by the likelihood that that the rise in employers' NICs and the NLW will cause job losses, which might lift structural unemployment.

Surveys of firms suggest that part of the adjustment to the NICs hike will come through job losses, as well as through lower pay growth, higher inflation and a margin squeeze. The PAYE employment data suggest that job growth has been especially weak in accommodation and food services, a sector with relatively low pay and therefore likely to be heavily hit by the hikes in NICs and NLW (**Chart 5**). Job cuts caused by the hikes in NICs and NLW may cause a structural rise in unemployment rather than increased labour market slack, because some of the people involved may find it hard to switch to other jobs and their previous jobs may no longer be viable.

Chart 5: Recent weakness in employment is concentrated in the main low-pay sector



Source: Oxford Economics / Haver Analytics

Will the MPC change its view?

In our view, the MPC's worries that the recent slowdown reflects supply constraints rather than weak demand are misplaced. As further evidence comes through of rising unemployment and increasing slack, these worries are likely to fade relatively quickly.

However, the MPC's worries over a shift in the relationship between unemployment and pay growth are unlikely to be resolved so easily and may not fade simply because unemployment is rising unless it's particularly sharp. This is because the MPC expects the structural jobless rate will be rising anyway, or that sticky inflation expectations might keep pay deals high even if unemployment ticks higher.

Unless there are signs that real activity is weakening very sharply, the MPC's worries probably will persist until it sees clear evidence that increasing slack is putting sufficient downward pressure on pay growth and core services inflation to return them to target-consistent rates. We do expect this will occur, but it's likely to require a persistent rise in unemployment above its structural level and some erosion of firms' pricing power to overcome sticky inflation expectations, rather than an early decline in inflation expectations. And this is likely to be gradual, over 12-18 months, rather than rapid.

Overall, therefore, part of the current mild stagflation will probably fade automatically next year as this year's idiosyncratic shocks (e.g. higher water charges) drop out of the annual inflation rates. And the rest will probably be squeezed out by tight monetary policy and sluggish economic growth, with core services inflation and pay growth continuing to slow during this year and returning to target-consistent rates next year.

Implications for monetary policy

For now, the MPC is sticking to a pattern of cut-hold. With sluggish growth, a gradual slowdown in core services inflation, and policy in clearly restrictive territory, there are reasons to cut further. But the MPC's worries over stickiness in inflation expectations and pay growth argue against a rapid return to neutral and will continue to prevent the MPC from quickly catching up with the ECB's faster easing cycle.

Once Bank Rate is down to 4% or so (probably in August), which is the top end of the MPC's estimates of neutral, further easing may be more dependent on evidence that pay growth and core services inflation are heading back to target-consistent rates. We expect this evidence will gradually come through and is likely to be accompanied this year by further signs of rising slack. Partly as a result, CPI inflation over this year (especially beyond Q1) probably will be a little below the MPC's February forecasts.

We expect the MPC will cut rates to 3.75% at year-end. At that point, policy would still probably be mildly restrictive compared to the MPC's estimates of neutral. There is a chance that rates could be cut slightly faster if activity data worsen markedly.

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We judge that the neutral policy rate in the UK is close to 3%, reflecting deep underlying factors such as productivity trends and demographics and allowing for trends in inflation expectations. But this is still somewhat above the Eurozone neutral rate. As and when inflation expectations normalise, the UK's neutral rate should fall further, but that may take some time.

The UK may be mildly stagflationary

In our view, the UK is not inherently stagflationary. Monetary policy is anchored on the inflation target, while neither monetary nor fiscal policy is premised on the assumption that it is safe to run the economy 'hot' – i.e. with output above potential. And there is little automatic indexation of wages, either in the public or private sector.

But the UK is more prone to mild stagflation than it used to be, and more than many other advanced economies. Low potential growth means that only modest growth in living standards is normal. Moreover, the risk of adverse price-level shocks probably is higher than in the 20 years before the pandemic, a period that saw an exceptionally benign mix of global supply shocks (e.g. from globalisation and the rapid expansion of China's role in the world trade system).

At the same time, UK inflation perceptions and expectations are less anchored on the target than they used to be – a legacy of the recent series of adverse inflation shocks. As a result, adverse price-level shocks are more likely than previously to pass into inflation perceptions and expectations and generate second-round effects on pay growth, unless offset by relatively tight monetary policy and rising slack. So if adverse price shocks recur on a regular basis, the UK is likely to continue to appear to be mildly stagflationary, with CPI inflation slightly exceeding the 2% target on average, as each shock generates a ripple of second-round effects that have to be quashed by monetary policy.